

Approved as to
form only:
[Signature]
Date: 5/22/18

RESOLUTION NO. _____

ENTITLED: “A RESOLUTION APPROVING THE BUDGET OF THE CHEYENNE REGIONAL AIRPORT BOARD FOR THE FISCAL YEAR BEGINNING JULY 1, 2018 AND ENDING JUNE 30, 2019.”

WHEREAS, the Cheyenne Regional Airport Board (“Board”) was created pursuant to Ordinance No. 2407 adopted by the Governing Body on February 11, 1980, as amended; and

WHEREAS, City Code Section 2.60.050(B) sets forth the requirement that the Board shall submit on or before the first day of May of each year, to the governing bodies of the city and the county, a proposed budget for the ensuing fiscal year; and

WHEREAS, City Code Section 2.60.050(B) provides that the Board budget shall be subject to alteration, modification and approval by the Governing Body in accordance with the policies of the City; and

WHEREAS, City staff has reviewed the proposed budget received from the Board.

NOW, THEREFORE, BE IT RESOLVED BY THE GOVERNING BODY OF THE CITY OF CHEYENNE, WYOMING, that the proposed budget for the Fiscal Year beginning July 1, 2018 and ending June 30, 2019 of the Cheyenne Regional Airport Board, as set forth in the attached information with this Resolution entitled “Cheyenne Regional Airport Proposed 2018/2019 Operating Budget” in the total amount of \$29,063,729.00, is hereby approved.

PRESENTED, READ AND ADOPTED this _____ day of _____, 2018.

Marian J. Orr, Mayor

(SEAL)

Attest:

Carol Intlekofer, City Clerk

MEMORANDUM

DATE: May 1, 2018

TO: City of Cheyenne, The Honorable Marian Orr, Mayor

FROM: Tim Barth, Director of Aviation, Cheyenne Regional Airport *TB*
Judy Clemons, Director of Finance & HR *JC*

SUBJECT: Cheyenne Regional Airport Proposed 2018/19 Operating Budget

On behalf of the Cheyenne Regional Airport, we would like to take this opportunity to present to the City of Cheyenne the proposed 2018/19 Airport Operating Budget. Realizing this is the first time for many of the Council to review the budget, we wanted to take a few brief moments to explain the budget so you can understand the document as you are reviewing it.

BUDGET FLOW

Not unlike the City, the Airport is a large complex organization, just with fewer employees. For budgeting purposes, the Airport is essentially broken into twelve (12) different departments or Cost Centers as identified horizontally across the top of the budget worksheet. The Departments (Cost Centers) are allocated by the following:

10- Airfield,	20- Existing Terminal,	25- New Terminal
30- General Aviation	35- Fixed Base Operation	40 – Federal Government Buildings
50 – Air Traffic	60- Airport Administration	65 – Old Administration
70- Maintenance	80 – Air Park (FBI & Great Lakes)	
90- Parkway (Professional Building)		

From these Budget Headers, each Cost Center's line item allocation is on the left of the document and takes the viewer through each line item across Cost Center lines.

Similar to the City, each of the Airport's Cost Centers are further broken down according to GAAP in that they show Operating and Non-Operating Revenue, Capital Outlays, Matching Funds and Federal and State Grants. However, the budget is presented on a cash basis and

excludes accrual items like depreciation. It should also be noted that Airport Revenue can only be spent in accordance with Federal guidelines given the amount of Federal investment in the Airport.

BUDGET SUMMARY

Operating Revenues - are predicted for this budget cycle to be \$4,289,508. **It must be noted that Operating Revenues will vary based on Airport Operations as the amount of fuel, de-icing fluid, line service tasks, etc., vary by the number of aircraft received from private, military and commercial.

It should also be noted that Operating Revenues are anticipated to be down \$270,650 now that Great Lakes Airlines has ceased operations.

Non-Operating Revenue – are projected at \$12,174,916. This number reflects the majority of the costs associated with the New Terminal Project and are carried over in this budget cycle to complete the terminal. It should be noted that the majority of this funding is derived from 5th & 6th Penny Taxes, Federal, State and Wyoming Business Council grants.

Compensation & Benefits – are projected at \$1,958,230. The Airport currently employs 17 FTE's and 3 PTE's.

AIRPORT & FBO Supplies – are projected at \$1,652,656. It should be noted the largest expense in this category is the bulk purchase of aviation fuels for resale.

Contract Service – are projected at \$884,793. These costs are primarily attributed to Airport legal counsel, insurance, printing, telecommunications, web based applications, accounting services and supplemental lawn and snow removal services.

Capital Outlays – are projected at \$7,748,338. It should be noted that the majority of these expenses are offset with agency grants.

Debt Service – are projected at \$355,288. This debt service pertains to the Federal Government building the Airport built for the various agencies and are recouping the debt payments through existing leases according to the agreements.

BUDGET PROFIT/LOSS – Anticipated \$598,129 will be returned to the Airport Reserve account for consideration in the 2019/20 Operating Budget.

CONCLUSION

Since the Cheyenne Regional Airport Joint Powers Board was formed in 1980, the Airport has not been an ongoing line item in either the City or County operating budgets. The Airport is completely self-sustaining and covers all expenses associated with the operations and maintenance of the facility.

For additional reference, we have attached City Ordinance 2426 which delineates the JPB agreement between the City, County and Airport Board.

PROPOSED AS OF 2018-05-01

Cost Centers:	Airfield	Terminal	New Term	G.A.	FBO	GSA	New Twr.	Admin.	Old Admin	Maint.	Airpark	Park. Bldg.	Total
Account Title	10	20	25	30	35	40	50	60	65	70	80	90	FY 18/19

Capital Outlays:

[illegible]

Financial Outlay:

[illegible]

PROPOSED AS OF 2018-05-01

Cost Centers: Account Title	Airfield 10	Terminal 20	New Term 25	G.A. 30	FBO 35	GSA 40	New Twr. 50	Admin. 60	Old Admin 65	Maint. 70	Airpark 80	Park. Bldg. 90	Total FY 18/19
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Total Non-Oper Exp:	-	7,605,588.00	-	-	173,421.00	308,117.76	-	6,500.00	-	-	-	10,000.00	8,103,626.76
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Non-Oper Prof or Loss:	60.00	598.00	100.00	28,000.00	(173,421.00)	(308,117.76)	-	217,407.35	-	-	50.00	17,105.00	(218,218.41)
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Total Rev/Funding:	261,832.44	7,615,792.00	130,259.00	222,802.00	2,225,700.00	493,850.00	-	495,643.75	101,827.76	10,000.00	132,211.00	484,998.78	12,174,916.73
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Total Exp/Improvements:	116,087.00	7,628,374.00	97,582.00	68,014.00	2,215,905.30	379,020.76	42,681.95	547,123.22	36,457.62	392,338.70	60,463.00	210,957.83	11,795,005.37
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Difference:	145,745.44	(12,582.00)	32,677.00	154,788.00	9,794.70	114,829.24	(42,681.95)	(51,479.47)	65,370.14	(382,338.70)	71,748.00	274,040.95	379,911.36
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